

The Coca-Cola Company

Exceptional franchise, fair stock: retain the defensive compounder, but demand a better entry price for new capital.

Price	Market cap	2026E P/E	Dividend yield	Status
\$82.12	\$354.3bn	25.1x	2.58%	Full underwrite
July 20, 2026				Pre-Q2 update

RESEARCH POSTURE: HOLD

Own it; do not chase it.

KO remains a wide-moat, high-return beverage franchise with improving comparable margins and a credible 6%-8% long-run EPS algorithm. At \$82.12, however, the stock trades at about 25.1x 2026 consensus earnings and only a 2.58% dividend yield. The valuation already assumes that management sustains roughly 5% organic revenue growth and mid-single-digit-to-high-single-digit EPS growth.

Portfolio action: Hold the existing 293.187 shares. Prefer new diversification dollars to VXUS and AVUV at current KO prices. Add KO in tranches below \$75; become more aggressive near \$70. Reassess after July 28 Q2 results and a quantified fairlife outage impact.

Business quality

9/10

Brand, distribution, pricing and asset-light concentrate economics.

Stock attractiveness

5/10

Durable, but base-case return is only about 6% annualized.

1. Executive view and portfolio verdict

64 years Consecutive annual dividend increases	31.2% FY2025 comparable operating margin	~20% Estimated normalized ROIC
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Why the thesis works: Coca-Cola monetizes brand demand through an unmatched bottling and distribution network. Its concentrate operations require modest capital, pricing is embedded in the model, and zero-sugar, fairlife and emerging-market volume provide growth beyond classic soda.

Primary downside mechanism: A de-rating from 25x to 20x earnings can overwhelm several years of EPS and dividend growth. Operationally, the bear path is weaker volume masked by price/mix, plus pressure from affordability, sugar regulation, input costs or execution problems in growth brands.

Portfolio metric	Current read
Shares / market value	293.187 / \$24.077
Portfolio weight	1.49% (snapshot: 1.48%)
Cost basis / implied cost per share	\$12,314 / \$42.00
Unrealized gain at \$82.12	\$11,763 (96%)
Forward annual KO dividend	\$622
Current yield / yield on cost	2.58% / 5.05%
KO + PEP portfolio weight	About 2.78% before price refresh

The holding produces about **\$622** in forward annual dividend income and has an approximate **5.05% yield on cost**. Because KO plus PEP are only about 2.78% of the portfolio, there is no concentration problem. The restraint on adding is valuation and opportunity cost, not portfolio risk.

2. History, business mix and economic model

Coca-Cola began in Atlanta in 1886 and has evolved from a single syrup into a global beverage system operating in more than 200 countries and territories. The system sold 33.8 billion unit cases in 2025. Sparkling beverages remained 69% of worldwide volume, and Trademark Coca-Cola alone represented 47%.

How the company makes money

- **Concentrate operations:** sell beverage bases and syrups to bottlers. These represented 59% of FY2025 revenue and carry the strongest margins and capital efficiency.
- **Finished products:** sell beverages directly through consolidated bottling and distribution operations. These create more reported revenue but lower gross margins.
- **Equity method investments:** provide profit participation in important bottlers and partners without full consolidation.

Category portfolio

- Sparkling: Coca-Cola, Sprite, Fanta, Diet Coke and Zero Sugar
- Hydration/sports: Dasani, smartwater, Powerade, BODYARMOR, Topo Chico
- Coffee/tea: Costa, Georgia, Gold Peak, Fuze Tea
- Juice/dairy/plant: Minute Maid, Simply, innocent and fairlife

FY2025 segment	Revenue	% of revenue	Operating income	Economics / observation
North America	\$19.6bn	40.8%	\$5.1bn	Largest revenue pool; fairlife and BODYARMOR exposure
EMEA	\$11.5bn	22.6%	\$4.3bn	High-margin concentrate economics; broad currency exposure
Latin America	\$6.3bn	13.2%	\$3.7bn	Strong pricing power; inflation and currency senality
Asia Pacific	\$5.6bn	11.1%	\$2.0bn	Best long-run volume runway, uneven near-term execution
Bottling Investments	\$5.7bn	12.0%	\$0.4bn	Revenue-heavy, low-margin; continuing refranchising

Mix conclusion: North America is the largest revenue pool, while EMEA and Latin America contribute disproportionately to segment profit because of concentrate intensity. Bottling Investments remains intentionally low-margin and should shrink further as refranchising continues; it fell from 52% of revenue in 2015 to 12% in 2025.

3. Moat, competition and market share

Structural advantages

- **Brand salience:** Coca-Cola is a habit, an affordable indulgence and a retailer traffic driver.
- **Distribution density:** the bottling system places products across grocery, restaurants, convenience, vending and on-premise channels globally.
- **Scale economics:** global marketing, procurement, consumer data and innovation can be reused across markets.
- **Customer economics:** cold-drink equipment, fountain systems and route density create embedded relationships and high practical switching costs.
- **Pricing and mix:** package architecture allows the system to preserve affordability while taking price per ounce.

Competitive limits

- PepsiCo competes across beverages with additional retailer leverage from snacks.
- Keurig Dr Pepper is important in North America; Monster leads energy and is also a Coca-Cola partner.
- Local water, tea, coffee and juice brands fragment non-sparkling categories.
- Private label and emerging functional beverages can compress price or require higher marketing.

Market-share conclusion: Exact global NARTD share is not consistently comparable across sources, so this report does not force a percentage. The stronger evidence is directional: Coca-Cola reported value-share gains in total NARTD beverages in FY2025 and Q1 2026. The moat remains wide, but share gains must increasingly come from zero-sugar, dairy, hydration and emerging markets rather than mature full-sugar soda alone.

4. Five-year financial deep dive

Metric (\$bn except EPS)	2021	2022	2023	2024	2025	4-yr trend
Revenue	38.7	43.0	45.8	47.1	47.9	5.5% CAGR
Gross margin	60.3%	58.1%	59.5%	61.1%	61.6%	+130 bps
GAAP operating margin	26.7%	25.4%	24.7%	21.2%	28.7%	Noisy
Comparable op. margin	n/a	28.7%	29.1%	30.0%	31.2%	Expansion
Net income	9.6	9.5	10.7	10.6	13.1	7.6% CAGR
Diluted GAAP EPS	\$2.25	\$2.19	\$2.47	\$2.46	\$3.04	7.8% CAGR
Operating cash flow	12.6	11.0	11.6	6.8	7.4	One-time items
Capex	1.4	1.5	1.9	2.1	2.1	Controlled
Reported FCF	11.3	9.5	9.7	4.7	5.3	Distorted
Normalized FCF	11.3	9.5	9.7	10.8	11.4	4.6% CAGR*
Cash dividends	7.3	7.6	8.0	8.4	8.8	4.9% CAGR

*Normalized FCF trend shown from 2022 to 2025 because 2021 was an unusually strong reopening cash year. FY2024 normalized FCF excludes the \$6.0bn IRS deposit; FY2025 excludes the \$6.1bn fairlife contingent consideration payment. Owner earnings proxy = operating cash flow less total capex; both reported and normalized views are shown.

Earnings quality: GAAP net income did not convert into reported cash flow in 2024-2025 because working capital included two unusually large cash items: the IRS litigation deposit and final fairlife milestone. Excluding them, FCF was \$10.8bn and \$11.4bn, respectively. That restores a coherent relationship between earnings and cash and is not evidence of aggressive revenue recognition. The fairlife payment was nevertheless a real acquisition cost and should not be ignored when judging lifetime capital allocation.

Returns and balance-sheet interpretation

- Estimated normalized ROIC was about 20% in 2025 using comparable operating profit after tax over average debt plus equity less cash and short-term investments.
- GAAP ROE exceeded 40%, but treasury stock and leverage reduce its usefulness; ROIC is the better quality measure.
- Year-end gross debt was about \$45.5bn and net debt about \$31.6bn. Normalized net debt/EBITDA was roughly 2.0x and adjusted EBIT covered interest about 9x.
- Gross margin reached 61.6% in 2025, while comparable operating margin rose to 31.2%. Refranchising, price/mix and cost discipline outweighed higher marketing and input costs.

5. Growth drivers and capital allocation

Q1 2026 KPI	Result	Investor read-through
Net revenue	\$12.5bn, +12%	Strong reported start, helped by currency and calendar
Organic revenue	+10%	8% concentrate sales plus 2% price/mix
Unit case volume	+3%	Healthy balance; China, U.S. and India led
Comparable op. margin	34.5% (+70 bps)	Pricing/productivity more than offset costs and marketing
Comparable EPS	\$0.86, +18%	Beat consensus; 3-point currency tailwind
Free cash flow	\$1.8bn	Clean quarter; no fairlife milestone drag
Coca-Cola Zero Sugar	+13% volume	Key mix and recruitment engine

Growth engines

1. **Zero Sugar:** Q1 volume grew 13%, widening consumer recruitment without abandoning the core brand.
2. **Emerging markets:** low per-capita consumption and route-to-market depth support long run volume.
3. **Revenue growth management:** package size, channel mix and price architecture protect both affordability and revenue per case.
4. **fairlife:** a premium, high-growth dairy platform - attractive economically but now carrying visible operational cyber risk.
5. **Refranchising:** reduces low-margin bottling revenue and capital needs while preserving concentrate economics.

Capital allocation

- **Dividend:** \$2.12 per share in 2026, up 4%; forward payout is about 65% of midpoint 2026 comparable EPS.
- **Buybacks:** secondary to the dividend; 2025 treasury purchases were \$0.75bn versus \$8.78bn of dividends.
- **Capex:** roughly \$2.1bn in 2025, modest relative to normalized cash generation.
- **M&A:** fairlife has performed strongly, but the uncapped \$6.2bn final milestone shows why acquisition accounting and lifetime cash cost matter.
- **Debt:** manageable, though not an argument for aggressive repurchases at premium valuation.

6. Valuation and what is priced in

Metric	KO at \$82.12	Interpretation
Market capitalization	\$354.3bn	Mega-cap defensive compounder
TTM P/E	25.8x	Premium to slower-growth beverage peers
2026E P/E	25.1x (consensus 33.27)	Little margin for a 2026 guide-down
2027E P/E	23.6x (consensus 33.48)	Still requires durable mid-single-digit growth
Dividend yield	2.58%	Reliable, but below a compelling entry yield
Normalized FCF yield	~3.2%	Based on FY2025 FCF ex-fairlife payment
Net debt / normalized EBITDA	~2.0x	Manageable; not pristine

KO is more expensive than PEP (17.8x trailing earnings) and KDP (22.5x), but cheaper than Monster (48.1x). Those comparisons are imperfect: PEP includes a large snacks business, KDP has a different growth and leverage profile, and Monster carries a faster-growth multiple.

Reverse valuation: If KO exits 2030 at 23x earnings, it needs about \$4.19 of EPS - roughly 6.4% annual growth from 2026 guidance - to support a base-case total return near 6% after dividends. In other words, the current price already embeds a normal successful outcome. Multiple compression to 20x produces nearly flat annualized returns in the bear case.

Entry and review rules

- **Add below \$75:** about 23x 2026 EPS and a 2.8% yield. Begin with a partial tranche.
- **Stronger add near \$70:** about 21.5x 2026 EPS and a 3.0% yield. Better asymmetry for a mature compounder.
- **Hold \$75-\$90:** let earnings and dividends work; avoid chasing defensive momentum.
- **Review/trim above \$95:** only if the price rises without a corresponding increase in 2027-2028 EPS expectations or if portfolio defensive exposure becomes excessive.

7. Five-year forecast: bear, base and bull

2030 scenario	Bear	Base	Bull
2026-30 revenue CAGR	2.5%	5.1%	6.5%
2030 revenue	\$54bn	\$60bn	\$63bn
2030 comparable op. margin	30.0%	32.5%	33.5%
2030 EPS	\$3.65	\$4.19	\$4.65
Exit P/E	20x	23x	26x
2030 price	\$73	\$96	\$121
Cumulative dividends	\$10.5	\$11.6	\$12.5
Indicative annualized return	0%-1%	~6%	~11%-12%

These are analyst scenarios, not consensus targets. The base case assumes 4%-5% organic revenue growth, modest divestiture drag, gradual margin expansion and 6%-7% EPS growth. The bear case combines volume pressure and a valuation de-rating; the bull case requires sustained share gains, emerging-market volume and excellent price/mix execution.

8. Risks, red flags and thesis falsifiers

1. **Volume erosion hidden by pricing:** affordability pressure can eventually exhaust price/mix. Watch unit cases and transaction growth, not revenue alone.
2. **Health and regulation:** obesity concerns, weight-loss drugs, sweetened beverage taxes and restrictions on marketing or benefit-program eligibility can reduce demand or raise cost.
3. **fairlife ransomware:** U.S. production is temporarily suspended; scope and financial impact were unknown at the July 20 cut-off. A prolonged outage would impair a key growth platform.
4. **IRS transfer-pricing litigation:** \$6.0bn has already been deposited. Losing could forfeit the refund and create material liabilities for subsequent years.
5. **FX, geopolitics and bottler health:** 60% of revenue is international. Currency translation, sanctions, regional conflict and bottler profitability can obscure underlying demand.
6. **Brand and portfolio execution:** the \$960m 2025 BODYARMOR trademark impairment is evidence that not every growth adjacency earns an adequate return.

KPI / event	Green	Yellow	Red / falsifier
Organic revenue	>+5%	3%-5%	<3% for 2 quarters
Unit case volume	>+2%	0%-2%	Negative with continued pricing
Comparable op. margin	Stable/up	-50 bps	Down >100 bps without reinvestment payoff
Comparable EPS growth	>+7%	4%-7%	<4% absent severe FX
Normalized FCF / dividend	>+1.25x	1.1x-1.25x	<1.1x
fairlife disruption	Rapid restart	Limited Q3 impact	Extended outage / data or safety escalation
Market share	Value share gain	Stable	Sustained loss in core categories

9. Near-term catalyst and decision framework

Next event: Q2 2026 earnings on July 28. Consensus comparable EPS is approximately \$0.93. The highest-value disclosures will be fairlife restart timing, any guidance impact, unit volume versus price/mix, and whether Q1 margin expansion persists after heavier marketing and input costs.

What must be true: (1) organic revenue sustains at least 4%-5%; (2) unit volume remains positive; (3) comparable margin stays near or above 31%; (4) normalized FCF covers the dividend by at least 1.25x; and (5) fairlife returns without lasting customer, safety or data consequences.

Bottom line: Coca-Cola is a core-quality holding, not an attractive fresh buy at any price. For this portfolio, retain the existing position and its favorable yield on cost, but direct current incremental diversification toward VXUS/AVUV unless KO falls below \$75 or earnings estimates rise enough to restore an expected return above roughly 8%.

10. Sources, assumptions and evidence confidence

Source	Use
2025 Form 10-K	FY2025 financials, segments, risks, debt and cash flow
Q1 2026 earnings release	Latest results and management guidance
Q1 2026 Form 10-Q	Quarterly financial statements and operating detail
FY2025 results	Comparable margins, EPS and normalized FCF
2023 Form 10-K	FY2021-FY2023 historical financials
2026 dividend increase	Dividend amount and streak
Investor Relations calendar	Current production disruption
Segments and refranchising	Q2 2026 earnings date
Segments and refranchising	Category trends and bottling mix
Company history	Origin and history
Consensus estimates	2026-2028 EPS consensus and Q2 estimate
Valuation snapshot	Forward valuation and enterprise value

Evidence cut-off: July 20, 2026 after the U.S. market close. Price was \$82.12 at 7:54 p.m. ET. Financials use reported fiscal years through FY2025 and Q1 2026. Consensus estimates can change after Q2. Portfolio analysis uses the attached retirement portfolio snapshot and refreshes KO at the current quoted price while retaining the snapshot total for approximate weight.

Definitions: Owner earnings is proxied by CFO less total capex. Normalized FCF excludes the 2024 IRS deposit and 2025 fairlife contingent consideration cash payment; this normalization aids short-term companion but does not erase the economic cost. ROIC is an analyst estimate using NOPAT over average debt plus equity less cash and short-term investments. Scenario values are not price targets.

Conflicts/limits: GAAP and comparable operating profit differ materially due to fairlife remeasurement and BODYARMOR impairment. Exact global market share is not reported on a consistently comparable basis. fairlife incident impact remains unquantified.

Confidence: High on business quality, historical financials and portfolio position; medium on five-year valuation outcomes; preliminary on Q2/fairlife effects. Underwriting status: complete, pending July 28 refresh.